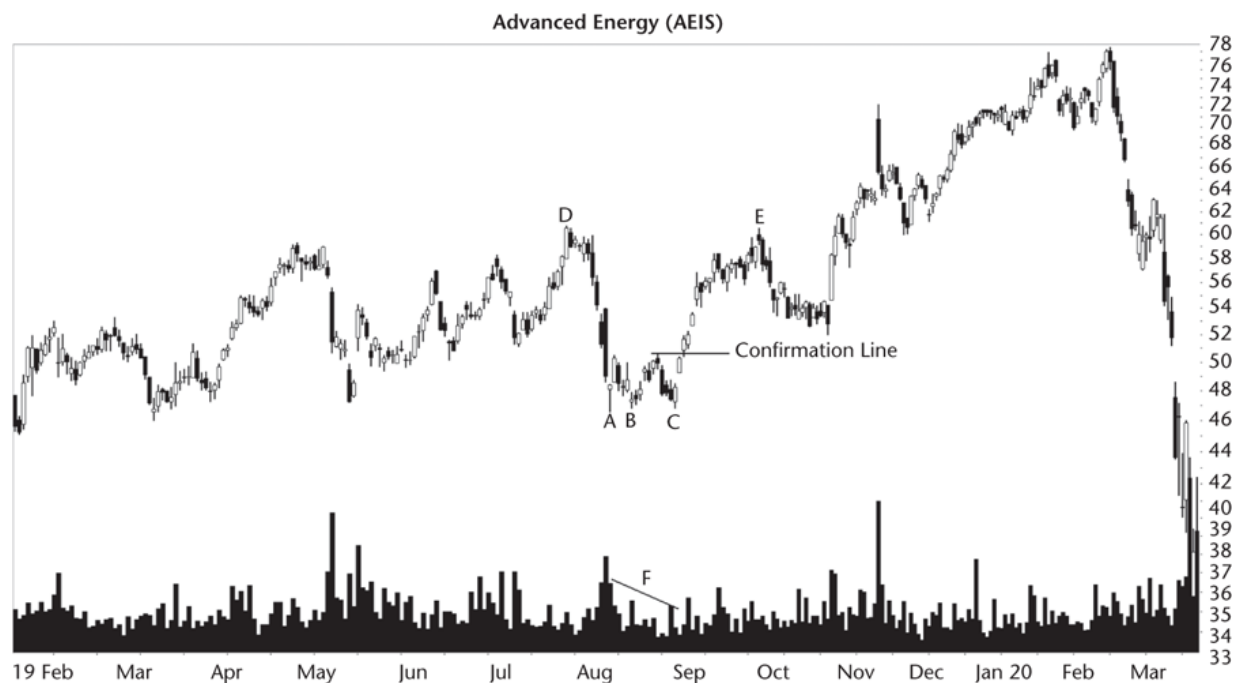


having my stop taking me out of stocks that go on to make a lot of money. Other trades suffer from 5% failures or trading mistakes. I'll discuss more of this in the Experience section.

Let's take a tour of this pattern to see what separates a triple bottom from other chart patterns, like a head-and-shoulders bottom.

Tour

[Figure 67.1](#) shows an example of a triple bottom. Price drops from a peak at D down to the triple bottom that appears at ABC. The three valleys are near the same price with the B valley at or slightly above the other two. In other words, it's not poking downward below the adjacent valleys. If the middle valley was lower than the surrounding ones, then it could be a head-and-shoulders bottom.



[Figure 67.1](#) This triple bottom forms the reversal portion of a Big W chart pattern.

Volume (F) slopes downward as it does most of the time in triple bottoms, but don't throw away a triple bottom just because volume trends upward.

The pattern confirms as valid when price closes above the top of the pattern. That happens at the confirmation line (shown). Remember, price